STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.	Case 19-G-0309
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service.	Case 19-G-0310

UIU INITIAL BRIEF

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I. INTRODUCTION

The Utility Intervention Unit ("UIU") of the New York State Department of State's Division of Consumer Protection submits this Initial Brief concerning the Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY"), KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (together, the "Companies") rate filing dated April 30, 2019. UIU is tasked with "the power and duty to . . . represent the interests of consumers of the state before federal, state and local administrative and regulatory agencies engaged in the regulation of energy services."[1] In furtherance of this responsibility, UIU recommends the Commission: (1) maintain and strengthen KEDNY and KEDLI's customer service performance metrics; (2) use both types of pro forma embedded cost of service (ECOS) studies filed by KEDNY and KEDLI in these rate cases as a

[1] NEW YORK EXEC. L. § 94-a(4)(b)(ii).

guide to revenue allocation in these proceedings; and (3) reject KEDNY and KEDLI's proposal for an affordability earnings adjustment mechanism ("EAM").

UIU reserves the right to address other parties' arguments in its Reply Brief, including issues on which UIU does not take a position in this Initial Brief.

II. PROCEDURAL BACKGROUND

The Commission last approved a rate plan for KEDNY and KEDLI in December 2016.[2] The Commission Order adopted a Joint Proposal which set rates for three rate years, ending December 31, 2019.[3] This prior rate plan included significant rate increases, which were levelized over the three-year rate plan.[4]

On April 30, 2019, the Companies filed a base rate increase request for a rate year that would begin on April 1, 2020. On June 11, 2019, the Companies filed supplemental testimony "discussing the revenue requirement and other impacts to the Companies' rate filings in the event the Transcontinental Gas Pipe Line LLC's Northeast Supply Enhancement ("NESE") project is not available during the proposed rate plan period."[5] On July 3, 2019, the Companies filed corrections and updates to their April 30, 2019 gas base rate filings . On August 30, 2019, Department of Public Service ("DPS") Staff, UIU, and numerous intervenor parties filed testimony in response to the Companies' rate filing. On September 18, 2019, several parties filed rebuttal testimony; the

[2] Cases 16-G-0058 *et al.*, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Keyspan Gas East Corporation d/b/a National Grid for Gas Service*, Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans (issued Dec. 16, 2016) [hereinafter *Order Approving 2016 JP*].

[3] Cases 16-G-0058 *et al.*, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Keyspan Gas East Corporation d/b/a National Grid for Gas Service*, Joint Proposal (filed Sept. 7, 2016) [hereinafter *2016 JP*] ("Rate Year One" means January 1, 2017 through December 31, 2017. "Rate Year Two" means January 1, 2018 through December 31, 2018. "Rate Year Three" means January 1, 2019 through December 31, 2019.).

[4] *2016 Order Approving JP*, *supra* note 2, at 2, 139.

[5] Cases 19-G-0309 *et al.*, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service*, Cover Letter, at 1 (filed June 11, 2019).

Companies' rebuttal testimony reflected the impact of not having NESE available for the 2020-2021 heating season.

On November 26, 2019, the Commission issued an Order Adopting and Approving Settlement that lifted the moratorium on new customer connections for service, which the Companies had imposed around May 15, 2019.[6] Subsequently, the procedural schedule for this rate proceeding was modified.[7] The Companies submitted supplemental testimony to address the impact of the settlement agreement on December 13, 2019. DPS Staff and intervenor parties submitted responsive supplemental testimony on January 29, 2020. A subsequent January 2020 Ruling required supplemental testimony from the Companies and Staff, to consider the impact of a January 2020 Commission Order in the New Efficiency New York proceeding.[8] There were 9 days of evidentiary hearings for these cases in February 2020.

On March 7, 2020, the Governor issued an executive order declaring a disaster state of emergency due to the coronavirus disease. 9 The Companies have instituted a temporary moratorium on certain collections-related activities, including service terminations.10 There is

[6] Case 19-G-0678, *Proceeding on Motion of the Commission to Investigate Denials of Service Requests by National Grid USA, The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid*, Order Adopting and Approving Settlement, at 1 (issued Nov. 26, 2019) ("The Order alleges, among other things, that on or about May 15, 2019 and absent any notice, National Grid issued a moratorium on all new gas service connections, causing an undue hardship to more than 3,700 existing and new customers, including existing customers who had temporarily suspended gas service to facilitate renovations to their homes or businesses.").

[7] Cases 19-G-0309 *et al.*, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service*, Ruling Modifying Procedural Schedule, at 2 (issued Dec. 10, 2019).

[8] Cases 19-G-0309 *et al.*, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service*, Ruling Requiring Additional Testimony Related to Energy Efficiency Initiative Order (issued Jan. 21, 2020).

[9] Executive Order 202 (Mar. 7, 2020).

[10] Cases 16-G-0058 *et al.*, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service*, Order Postponing Approved Electric and Gas Delivery Rate Increases and Updated Reduction to the Low Income Discount and Temporarily Waiving Certain Tariff Fees, (issued Mar. 25, 2020).

also a pending motion requesting that the Companies provide updated information to reflect how the pandemic may impact the Companies' rate filing.11 UIU's brief focuses on the technical evidence submitted as part of the evidentiary hearing record. UIU reserves the right to address these issues in its reply brief or as appropriate in later stages of this proceeding.

VIII. REVENUE ALLOCATION AND RATE DESIGN ISSUES

UIU witness Ms. Danielle Panko submitted direct testimony and exhibits offering recommendations pertaining to the Companies' Embedded Cost of Service ("ECOS"), revenue allocation, and residential rate design proposals. As discussed below, the Commission should adopt UIU's recommendations on these issues.

A. ECOS Study

The Companies' proposed hypothetical minimum system ECOS study should not serve as the sole basis for revenue allocation in these rate cases. Instead, the Commission should consider the results of both types of pro-forma ECOS studies presented by the KEDNY and KEDLI in their respective rate filing,[12] for the reasons set forth below. By considering both sets of ECOS models, the Commission will have broader context, be able to more accurately evaluate the extent to which specific service classes are currently over- or under-contributing to the revenue requirement, and have necessary tools to neutralize flaws or questionable assumptions that may be apparent in any single study. Additionally, to ensure that multiple types of ECOS studies are available for consideration by the parties in the next rate cases, the Companies should be required to once again

[11] Cases 19-G-0309 *et al.*, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service*, Public Utility Law Project ("PULP") Motion (filed Mar. 31, 2020).

[12] KEDNY and KEDLI filed two types of pro-forma ECOS studies in their initial rate filing. One study allocates distribution main costs as 100% demand related. The second study allocates distribution main costs based on a hypothetical minimum system which assumes a certain amount of costs are based on the number of customers.

file ECOS studies based on the classification of distribution mains[13] as 100% demand-related in their next rate filings, and hold a technical review session of such studies for interested parties.[14] ECOS studies involve some of the most highly debated and controversial issues considered during the utility ratemaking process, not only in New York, but around the country. While not binding on this Commission, the National Association of Regulatory Utility Commissioners Gas Rate Design Manual ("NARUC Manual" Ex. 630) provides some general observations on the range of methodologies utilized in ECOS studies:

> Utility rate design is more art than science. Even within a seemingly objective standard, such as cost of service based rates, there remains considerable latitude for judgment and personal value systems to affect the final result. (Ex. 630 p. 17.)
>
> The flexibility of the cost of service standard is due to three factors: (1) Matters extraneous to the rate design system; (2) multiple costs to choose from, and (3) the need to allocate or assign costs. (Ex. 630 p. 18.)
>
> There are a number of reasonable methods which means that the appropriate cost of service allocation is often a hotly contested issue . . . . However, there is no one correct cost of service, but rather a range of reasonable alternatives. (Ex. 630 p. 19.)
>
> There is no scientifically correct method of making necessary allocations. A certain amount of judgment must be used in any cost of service study. (Ex. 630 p. 20.)

ECOS studies are useful tools to guide the Commission in designing just and reasonable rates, but the results of any single study can be misleading, particularly if the inherent weaknesses and flaws in that study are not recognized and adequately dealt with before allocating costs to consumers. As UIU witness Ms. Panko observed, ECOS studies are considered "an art, more than a science"

[13] Distribution mains are the pipelines connecting the city gate to the customer service line. Mains are defined in the Federal Energy Regulatory Commission ("FERC") Uniform System of Accounts as FERC account 376 (Ex. 631 p. 129-131).

[14] *See* 2/13/20 Tr. p. 1349 (Ms. Panko discussing recommendation that "the Companies should invite all parties in its next rate case to attend a meeting (outside of its technical conference), at which the Companies would present an overview of the detailed data set forth in its filed gas cost of service studies, proposed revenue allocation process, and proposed rate design (similar to the process adopted in the Commission's Orders in Case 15-E-0050 *et al*. and 18-E-0067 *et al*.)" (citations omitted).). In rebuttal testimony, the Companies did not object submitting a 100% demand ECOS study in the next rate cases. 2/19/20 Tr. p. 2816-17.

(2/13/20 Tr. p. 1419). Ms. Panko's testimony focused on analyzing the pro-forma[15] ECOS models initially filed by the Companies in each of these rate cases. Both types of pro forma ECOS models filed by the Companies follow the same methodologies, except for one of the most controversial judgments in an ECOS study: how to classify and allocate distribution main costs, Federal Energy Regulatory Commission ("FERC") Account 376.[16] As discussed in more detail below, for the purposes of this brief, Model 1 utilizes the minimum system approach and Model 2 utilizes the 100% demand approach.[17]

While Ms. Panko's testimony expressed concerns regarding the minimum system approach set forth in Model 1, she recommended that both types of ECOS models be considered for the purposes of revenue allocation in these rate cases. At a minimum, both types of ECOS models are recognized as a potential outcome in the NARUC manual and it is reasonable to consider both models for revenue allocation purposes in these rate cases. These two ECOS model types were approved by the Commission to be filed in the current rate cases by virtue of language included in the Joint

[15] UIU observes that in these rate cases, the Department of Public Service Staff ("Staff") propose to rely on historic ECOS studies for KEDNY and KEDLI (2/19/20 Tr. p. 2943). UIU witness Danielle Panko reviewed these historic ECOS studies and decided not to introduce the added complexity of working with both historical and pro-forma rate of return ("ROR") results in these rate cases. See 2/13/20 Tr. p. 1372 (Ms. Panko's direct testimony noted that "In Exhibit [563] (DP-2) [p. 2] . . . [t]he Companies noted there were no major differences among the historical and pro-forma studies. Additionally, the Companies noted the revenue allocation would not change for KEDLI SCs [service classes] and would only slightly change for KEDNY SC 3 (moving closer to the average ROR). I have not incorporated the historical ECOS models into my proposed revenue allocation process in these cases since the results are largely redundant; while there are some small differences, there are no extreme differences, so I see no reason to introduce the added complexity of working with both historical and pro-forma ROR results.").

[16] *See generally*, *supra*, footnote 13 at 5.

[17] Additionally, UIU witness Danielle Panko only focuses on the service class assumptions set forth by the Companies in their filed ECOS studies which include interruptible ("IT") and temperature control ("TC") customers and exclude Electric Generation customers. For the purposes of utility cost of service, the Companies exclude the costs associated with Electric Generation. As such, the cost of service methodologies as discussed by Ms. Panko either in testimony or at the hearing do not apply to Electric Generation customers.

Proposal that was adopted in Cases 16-G-0068 and 16-G-0069 ("2016 JP").[18] The two ECOS models the Companies filed in these rate cases are described further below:

Model 1 ("Minimum System")

The Minimum System approach classifies distribution main costs in FERC Account 376 as both customer and demand related; the relative proportions are based on a hypothetical minimum system approach. FERC Account 376 is a large account and the method of revenue allocation on this account can have a significant impact on small customers. This method can be controversial (as noted in the NARUC Manual) not only because it is based upon a purely hypothetical construct, but also because it involves many critical judgements and questionable assumptions. For instance, the Companies assumed the use of two-inch plastic pipe throughout their distribution systems, but in reality these systems contain many types of the pipes, not just plastic (2/13/20 Tr. 1432).[19]

The NARUC manual acknowledges that in some ECOS models "[a] portion of the costs associated with the distribution system may be included as customer costs" (Ex. 630 p. 22). The manual also notes that "the inclusion of such costs can be controversial" (Ex. 630 p. 22). The manual goes on to explain the "zero or minimum size main theory" typically assumes

> that there is a zero or minimum size main necessary to connect the customer to the system and thus affords the customer an opportunity to take service if he so desires. Under the minimum size main theory, all distribution mains are priced out at the historic unit cost of the smallest main installed in the system, and assigned as customer costs. The remaining book cost of distribution mains is assigned to demand." (Ex. 630 p. 22).

[18] Cases 16-G-0058 *et al.*, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Keyspan Gas East Corporation d/b/a National Grid for Gas Service*, Joint Proposal, at 131 (filed Sept. 7, 2016) [hereinafter *2016 JP*].

[19] In fact, the KEDNY and KEDLI systems are two of the oldest distribution systems in the country, so it is not surprising that KEDNY/KEDLI have a variety of pipes included in their rate base other than plastic. See 2/25/20 Tr. p. 4833 ("Both Companies (and their predecessors) have served customers in these territories for more than 100 years and operate gas distribution systems that are among the oldest in the United States.").

In Direct Testimony, the KEDNY Rate Design Panel[20] discusses the Company's approach to a minimum system study:

> The analysis begins by obtaining from plant and accounting records the cost of mains the utility has installed in recent years, detailed by material (plastic, steel, and cast iron), length, and diameter. Then the installed cost per foot is computed for each material/diameter type. The minimum system ratio is computed as the ratio of (X), the cost of replacing the entire mains distribution system with the minimum component, which is two-inch plastic, to (Y), the cost of replacing the entire mains distribution system with plastic of the same diameter as-installed. This produced a minimum system ratio of 47.08 percent, which represents the portion of total mains cost simply to connect customers without regard to meeting their design-day demands (*i.e.*, customer-related costs). (2/19/20 Tr. p. 2654).

In defense of this model, the Company claims that

> [d]istribution mains are installed to connect customers to the distribution system (customer-related) as well as to provide capacity to meet customer requirements on the design day (demand-related). Therefore, the cost of mains is classified as partly customer-related and partly demand-related. . . The customer component was allocated among the customer classes based on the number of customers. (2/19/20 Tr. p. 2653).

This model is controversial because of its hypothetical nature that introduces a customer-related component and the inherently subjective judgements and assumptions that are used in developing it. As a preliminary matter, the premise of a minimum system which assigns distribution main costs as customer-related is controversial. The issue is that the minimum system introduces a customer-related component which tends to over allocate costs to small customers (which are the majority of the customers) thereby most of the costs would be allocated to those customers.

[20] The KEDLI Rate Design Panel Direct Testimony describes the Company's approach to a minimum system study in a similar manner (2/19/20 Tr. p. 2739); KEDNY and KEDLI filed joint rebuttal testimony for rate design issues. For efficiency, this brief will focus on the KEDNY Rate Design Panel initial testimony, but the arguments apply to both KEDNY and KEDLI.

In the minimum system approach, the Companies must assume a hypothetical minimum system can be built with zero or little load capability with 2-inch pipe only. However, in reality, this scenario is not possible because the distribution system is built to meet peak demand. Notwithstanding that concern, the method by which this model assigns costs to individual customer classes is known for its potentially disparate impact on small customers. This is because the model assigns the exact same share of the minimum system costs to small customers as it assigns to much larger customers, even where larger customers may obtain more benefit from the system and have a much greater financial ability to help pay for the cost of maintaining and operating the distribution system.

In other words, if the Commission rejects the approach recommended by UIU, and instead relies exclusively on Model 1 cost study results, the inclusion of a customer-related component for distribution mains (FERC 376) could lead to an overallocation of costs to small customers. Such an overallocation would be wholly inequitable for these classes. During cross examination, the Companies acknowledged this model assigns uniform cost allocations despite drastically different customer circumstances:

> "Q. Thank you. This 47.08% factor is significant since it was used in determining what portion of the overall cost of KEDNY's distribution mains would be allocated among the customer classes based on the number of customers in each class, correct?
>
> A. Correct.
>
> Q. With respect to this 47.08% portion of the distribution main cost, in your ECOS study every customer is effectively allocated the same amount of cost regardless of their size or other circumstances, correct?
>
> A. Could you repeat that question, please?
>
> Q. Yes. With respect to this 47.08% portion of the distribution main cost in your ECOS study, every customer is effectively allocated the same amount of cost regardless of their size or other circumstances, correct?
>
> A. Every customer is allocated the - - the same portion of the customer related portion of the mains, yes.

> Q. So to clarify, your answer is yes?
>
> A. As long as we're talking about the customer related portion of the mains, yes. The 47%.
>
> Q. Thank you. In fact, a small residential customer living in a studio apartment is effectively allocated the exact same share of this 47.08% of the cost of distribution mains as the share that's allocated to a much larger customer such as an office building or a department store, correct?
>
> A. That's correct."
>
> (2/19/20 Tr. 2899-2901.)

As this example illustrates, the theory underpinning the minimum system approach has long been controversial, and it invariably relies on judgements and assumptions that are also controversial.

Model 2 ("100% Demand Approach")

Compared to Model 1 (Minimum System), Model 2 only changes the classification of FERC Account 376 (Distribution Mains) costs. This model classifies all of the distribution main costs in FERC Account 376 as demand-related and none as customer-related. This is a large account with potentially significant cost impact on small customers. The decision to classify main costs as 100% demand related is recognized within the "basic system theory" approach described in the NARUC Manual (Ex. 631 p. 23).[21] UIU recommends that Model 2 (100% Demand Approach) be considered in these rate cases because it will help illustrate a range of reasonable outcomes relating to this large account, which will equip the Commission with more objective information upon which to make an informed decision on cost allocation. As an initial matter, Model 2 is a sound theoretical approach that is within the range of reasonable outcomes for ECOS results. For the reasons

[21] UIU observes that the basic system theory described in the NARUC manual may be interpreted to cover more changes than just the classification of distribution mains as 100% demand related (*see* Exhibit 630 p. 23). For the purposes of this brief, Model 2 refers to the ECOS studies filed by the Companies in these rate cases, which change the classification of distribution mains, only. Thus, this brief will refer to Model 2 as the 100% demand approach.

discussed below, Model 2 (100% Demand Approach) should be considered in these rate cases as part of the revenue allocation process.

In Model 2, because distribution mains are classified as 100% demand related, the costs are allocated in proportion to peak load. Not all costs of the distribution system are allocated in proportion to demand, however.[22] For context, service line costs (FERC Account 380, which is associated with costs closer to the customer than distribution mains) are the costs (e.g., permits, lawn digging, pavement repair, etc.) associated with gas lines that bring natural gas to individual homes and businesses from a particular location off of the gas distribution main (FERC Account 376) to the customer premise meter.[23] It is UIU's position that, by limiting the "customer cost" category to those cost items that can be directly linked to specific customers, a more equitable and more reasonable result is achieved. Consistent with this logic, distribution mains are more appropriately classified as demand-related, while the service pipes and accessories that are the connection point from the distribution main to the premise meter for each customer may be more appropriately linked to the specific customers in each service classification.

An example of why distribution main costs in FERC 376 should be classified as 100% demand-related is discussed below. The costs associated with the gas distribution main serving a large office building from the city gate all the way to the street will be the same, regardless of whether the building is occupied by a single large tenant, or by dozens of smaller tenants combined using the same amount of gas as the single large tenant at a particular time, each with their own

[22] There are other categories of distribution plant that the Companies suggested classifying as customer-related or for which the Companies proposed allocating cost by average number of customers (*e.g*, FERC Account 380 Services, Ex. 631 p. 132-3). UIU has not objected to these proposals in these rate cases (*see* Ex. 129 p. 239 (KEDNY RDP-3 Schedule 7A)).

[23] UIU believes the distinction between costs that are directly linked to customers in each service classification and costs that are indirectly linked based on a contentious method is an important and valid one when dealing with the classification of costs.

separate gas meter. In fact, the design of the distribution main to effectively flow gas to a specific location at any time during the year (and all of the most relevant cost characteristics of the main) depends on the maximum amount of gas that needs to be provided to a building of this size during its peak gas usage, generally during cold winter days. Under the 100% demand approach, the cost of distribution mains are classified as demand-related, no matter how many customers are located in the building, which UIU believes more closely illustrates actual cost. In contrast, if Model 1 (Minimum System) is used, a much smaller portion of the cost of the distribution main will be attributed to the building if it is occupied by a single large customer than if it happens to be occupied by numerous small customers. In this way, consultation with both models provides a landscape of possible outcomes upon which the Commission can make an informed determination, rather than relying on only one model, as proposed by the Companies.

1. It is Reasonable and Instructive to Consider Both Model 1 and Model 2 For Revenue Allocation Purposes.

ECOS methods that do not assign distribution main costs based upon the number of customers, including but not limited to in Model 2, have a history of being discussed in this State[24] and being discussed by utility regulatory commissions in other states.[25] As a general matter, UIU recognizes that the conclusions reached in other rate cases concerning this issue are of limited relevance in

[24] For example, a Commission order in a 2015 rate case adopted a Joint Proposal that modifies the gas ECOS study to classify distribution gas mains as 100% demand-related and 0% customer-related. *See* Cases 14-E-0493 *et al.*, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Orange and Rockland Utilities, Inc. for Electric Service*, Order Adopting Terms of Joint Proposal and Establishing Electric Rate Plan, Attachment A, Joint Proposal, at 45 (issued Oct. 16, 2015). The Commission has also approved several utility rate case joint proposals which include an agreement for the utility to file a 100% demand ECOS study in the next rate case. *See e.g.,* Cases 18-E-0067 *et al*., Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans, Attachment A, November 9, 2018 Joint Proposal (issued Mar. 14, 2019) (gas ECOS study discussed on pages 43-44).

[25] For example, the State of Massachusetts addressed this issue in a 1991 rate case. In an order dated October 31, 1991, Massachusetts Department of Public Utilities ("MA DPU") Case 91-60 (WL 531844), the MA DPU rejected the minimum system approach, reaffirming its past finding "that there is a cost causative relationship between loads and distribution mains," and finding that "there is no need for the Company to conduct a study to identify and classify a portion of distribution mains as customer-related." *See also*, infra footnotes 35-39, at 15-16.

any subsequent case, because, as Ms. Panko observed, the ECOS methodology in any given case ". . . may have been adopted in response to intervenor testimony, or to comply with a negotiated memorandum of understanding, stipulation agreement or past joint proposal" (2/13/20 Tr. p. 1364). Additionally, prior Commission decisions are based on the facts and circumstances of individual utility rate cases, so they are not binding on the Commission in subsequent cases. Nevertheless, the fact that both types of ECOS models have been considered in various other proceedings in New York and elsewhere, and the fact that the Commission has adopted revenue allocation decisions in other proceedings that were not tied to any single ECOS study, demonstrates that the approach UIU is recommending in this proceeding is well within the mainstream of regulatory practice, which can appropriately be adopted in this proceeding. By considering both ECOS models, the Commission can consider the full range of reasonable outcomes based on the record in this proceeding. It is not necessary or even desirable to base the final revenue allocation on the results of any single ECOS study for the purposes of these rate cases.

The approach UIU is recommending in this proceeding is within the range of reasonable outcomes for a utility rate case, including in New York State. For example, in the Companies' 2016 rate cases, the Joint Proposal did not endorse one particular ECOS methodology to guide the revenue allocation process.[26] Instead, each service classification received system average increases which deviated from the Rate of Return ("ROR") indicators produced by the Companies' ECOS models. This outcome was not unique. In other recent orders adopting utility rate plans, the Commission has deviated from ECOS results that were based solely on the minimum system

[26] Cases 16-G-0058 *et al.*, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Keyspan Gas East Corporation d/b/a National Grid for Gas Service*, Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans, at 35 (issued Dec. 16, 2016) [hereinafter *Order Approving 2016 JP*]. The Commission noted, "We agree that given the sizeable revenue increases for KEDNY and KEDLI, the equal percentage allocation of the revenue increases to all firm service classifications would be appropriate to minimize rate shock to the extent practicable." *Id.* at 38.

approach, because of the circumstances of those cases. In a past litigated case, the Commission made modifications to the results of a minimum system study to classify more costs as demand related and less costs as customer related.[27] In 2015, the Commission approved a Joint Proposal that utilized the results from a 100% demand ECOS approach for revenue allocation purposes.[28] The Commission has also approved several utility rate plans which did not endorse any particular ECOS study for revenue allocation purposes[29] and/or which required utilities to file several types of ECOS studies in their next utility rate filings.[30]

Additionally, UIU observes that Department of Public Service Staff has taken various different positions with respect to the controversial allocation of distribution mains over the years, and DPS Staff has previously submitted testimony in support of the 100% demand approach. For example, in a 2007 rate case for these utilities, DPS Staff submitted testimony recommending the 100% demand approach.[31] Additionally, in the NYSEG and RG&E 2015 rate case, DPS Staff testimony

[27] *See e.g.*, Cases 08-G-0888 *et al.*, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Central Hudson Gas & Electric Corporation for Gas Service*, Order Adopting Recommended Decision with Modifications, at 46-47 (issued June 22, 2009) ("[A]lthough we find the arguments persuasive as to the assignment of a greater proportion of gas mains costs to the demand component, we are not convinced on this record that no mains costs should be classified as customer related. Accordingly, we direct that for the purpose of setting rates in this case, the allocation of gas mains costs should be 65%demand and 35% customer.").

[28] Cases 14-E-0493 *et al.*, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Orange and Rockland Utilities, Inc. for Electric Service*, Order Adopting Terms of Joint Proposal and Establishing Electric Rate Plan Attachment A, Joint Proposal, at 45 (issued Oct. 16, 2015) (modifying the gas ECOS study to classify distribution gas mains as 100% demand-related and 0% customer-related).

[29] *See e.g.*, Cases 15-E-0283 *et al*., *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of New York State Electric & Gas Corporation for Electric Service*, Order Approving Electric and Gas Rate Plans in Accord with Joint Proposal, Attachment 1, Joint Proposal, at 33 (issued June 15, 2016) ("With respect to revenue allocation, no single ECOS study forms the basis for revenue allocation in these proceedings. The allocation for setting the revenue increases for RY1, RY2 and RY3 are presented in Appendix W.").

[30] *See e.g.,* Cases 18-E-0067 *et al*., *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Orange and Rockland Utilities, Inc. for Electric Service*, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans, Attachment A, November 9, 2018 Joint Proposal (issued Mar. 14, 2019) (gas ECOS study discussed on pages 43-44).

[31] S*ee* Cases 06-G-1185 *et al.*, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a KeySpan Energy Delivery New York for Gas Service*, Direct Testimony of Aric J. Rider, at 15 (filed Jan. 2007).

did not object to the Companies' proposal to use the 100% demand approach,[32] but in the 2019 rate case, DPS Staff proposed a 50 percent demand and 50 customer classification split.[33] Additionally, UIU observes that NYSEG and RG&E had a long history of proposing a 100% demand allocation for gas distribution mains but notes that the Companies proposed a 50/50 split in their 2019 rate case rebuttal testimony.[34] While these positions do not establish precedent here, they do illustrate UIU's proposal to consider both the 100% demand study and the Companies proposed minimum system study for revenue allocation purposes as within a reasonable range of outcomes. It is also worth noting that one of the Companies' witnesses on this topic, Mr. Gorman, has developed and supported the use of ECOS studies in at least one other jurisdiction, in which none of the cost of distribution mains was classified as "customer-related" (which deviates from Mr. Gorman's position in these cases) Ex. 632 p. 1-2. While these historic positions do not establish precedent here, they do illustrate that UIU's proposal has merit.

In considering the allocation on this account, UIU urges the Commission to consider the rationale behind a recent decision the Minnesota Public Utilities Commission ("PUC"), which found benefit from considering multiple ECOS methodologies for revenue allocation purposes.[35]

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[32] *See* Cases 15-G-0284 *et al.*, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of New York State Electric & Gas Corporation for Gas Service*, Direct Testimony of Staff Gas Sales and Revenue Panel, at 48 (filed Sept. 2015) (DPS Staff did not appear to object to NYSEG and RG&E's ECOS studies which classified distribution gas mains as 100% demand-related).

[33] Cases 19-G-0379 *et al.*, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of New York State Electric & Gas Corporation for Gas Service*, Staff Gas Rates Panel, at 15-19 (filed Sept. 20, 2019).

[34] *See* Cases 09-G-0716 *et al.*, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of New York State Electric & Gas Corporation for Gas Service*, NYSEG and RG&E Direct Testimony of the NYSEG and RG&E Embedded Cost of Service Panels, at 36 (NYSEG) 35-36 (RG&E) (filed Sept. 17, 2009) (proposing to classify 100% of distribution gas mains as demand-related) and 11 (NYSEG and RG&E (noting that the proposal to classify 100% of distribution gas mains as demand-related was included in the ECOS studies proposed in several earlier gas proceedings, including cases 09-G-0716, 09-G-0718, and 01-G-1668).

[35] See Docket No. G-008/GR-15-424, In the Matter of the Application of CenterPoint Energy Resources Corp. d/b/a CenterPoint Energy Minnesota Gas for Authority to Increase Natural Gas Rates in Minnesota, Findings of Fact, Conclusions, and Order p. 53 (issued June 3, 2016).

In this 2016 case, the PUC deviated from its past practice of accepting the minimum system methodology and based its revenue allocation decision on several types of ECOS methodologies, including two studies that did not classify any of the costs of distribution mains as customer-related.

> While the Company's minimum-system cost studies are in line with previous cost studies approved by the Commission, the Commission is still in the process of exploring many complex issues regarding the allocation of distribution costs. The Commission is persuaded, on valid theoretical grounds, that the minimum-system studies over-allocate distribution costs to the customer component. Other class-cost-of-service studies suggest that the over-allocation to the customer component may be significant. . . . However, the other class-cost-of-service studies in the record in this case serve to suggest a range of plausible cost allocations to various customer classes.[36]

The decision in that case specifically rejected the conclusion that "the strengths of the minimum-system method are so superior to those of the other three analytical models developed in the record that they justify relying exclusively on a minimum-system analysis to classify and allocate distribution-system costs."[37] That Commission acknowledged that it had accepted the results of the minimum-system approach in the past, but was "persuaded, on valid theoretical grounds, that the minimum-system studies over-allocate distribution costs to the customer component."[38] Further, in deviating from past practice, that Commission considered that "[o]ther class-cost-of-service studies suggest that the over-allocation to the customer component may be significant."[39]

[36] *Id.*
[37] *Id.*
[38] *Id.*
[39] *Id*.

Similarly, UIU believes that consideration of the results of both Model 1 and Model 2 is necessary and appropriate in these current proceedings to contextualize flaws and controversial judgements associated with the minimum system approach, as discussed earlier. Doing so will assist the Commission in making a more equitable and informed decision regarding the appropriate allocation of costs for this account. The appropriate handling of distribution mains continues to be highly controversial. As such, UIU recommends that the Commission consider the results of the ECOS studies developed using both Model 1 and Model 2. By weighing all evidence provided by the two ECOS studies, UIU urges that the outcome will offer a more accurate allocation of costs and therefore be more just and reasonable for the customer classes.

2. ECOS Study Methodologies Involve Subjective Judgments and Simplified Assumptions Which Lead to Different Results

As UIU witness Ms. Panko explained, "judgments and datasets can impact the final RORs [rate of returns] for individual service classes. . . . [T]hey largely determine whether classes are deemed to be under-earning or over-overearning during the revenue allocation process. In turn this determines how large a rate increase will be assigned to each of the service classes" (2/13/20 Tr. p. 1365). Table 1(a) and Table 1(b) below illustrate the impact of this issue on the ECOS study results for KEDNY and KEDLI, respectively. The tables below provide the ECOS study results for pro forma Model 1 and Model 2 based on the Companies' initial revenue requirement request filed in April 2019. Similar disparities can be anticipated if the ECOS studies were to be rerun based on the final revenue requirement adopted by the Commission.

Table 1(a) – Service Class Cost of Service Study Results (KEDNY)

KEDNY Service Classifications	**Model 1 - Company Initial** 52.92% Demand & 47.08% Customer (Minimum System)			**Model 2 - Company Initial** 100% Demand		
	ECOS with Revenue Requirement at cost of service	Return at Present Rates	Relative Return at Present Rates	ECOS with Revenue Requirement at cost of service	Return at Present Rates	Relative Return at Present Rates
		ROR=3.5%	RROR=1		ROR=3.5%	RROR=1
SC-1A Residential NonHeat	**$ 254,588**	-1.5%	(0.43)	**$ 138,552**	14.8%	4.29
SC-1B Residential Heat	**$ 772,376**	3.6%	1.04	**$ 795,812**	3.0%	0.88
SC-1DG Res. DG	**$ 7**	-7.2%	(2.09)	**$ 8**	-7.8%	(2.26)
SC-2-1 Non-Res. NonHeat	**$ 43,449**	20.6%	5.98	**$ 47,727**	16.1%	4.66
SC-2-2 Non-Res. Heat	**$ 119,105**	4.1%	1.17	**$ 148,702**	0.3%	0.09
SC-3 Multiple Family	**$ 176,281**	1.3%	0.39	**$ 231,141**	-2.4%	(0.70)
SC-4A High Load Factor	**$ 12,019**	11.1%	3.21	**$ 15,008**	4.2%	1.21
SC-4A CNG	**$ 1,245**	16.6%	4.81	**$ 1,525**	8.3%	2.39
SC-4B Year-Round AC	**$ 862**	19.3%	5.59	**$ 1,088**	10.8%	3.12
SC-6C TC/IT	**$ 23,084**	31.7%	9.19	**$ 22,778**	32.4%	9.39
SC-7 Seasonal	**$ 21**	-10.6%	(3.06)	**$ 20**	-10.5%	(3.04)
SC-21 DG Sales	**$ 2,961**	-15.8%	(4.58)	**$ 3,637**	-14.5%	(4.20)
Total	**$ 1,405,997**	**3.5%**	**1.00**	**$ 1,405,997**	**3.5%**	**1.00**

Table 1(b) – Service Class Cost of Service Study Results (KEDLI)

KEDLI Service Classifications	**Model 1 - Company Initial** 53.83% Demand & 46.17% Customer (Minimum System)			**Model 2 - Company Initial** 100% Demand		
	ECOS with Revenue Requirement at cost of service	Return at Present Rates	Relative Return at Present Rates	ECOS with Revenue Requirement at cost of service	Return at Present Rates	Relative Return at Present Rates
		ROR=5.7%	RROR=1		ROR=5.7%	RROR=1
SC-1A Res Non-Heat	**$ 60,797**	-0.5%	(0.10)	**$ 37,512**	7.8%	1.37
SC-1B Res Heat	**$ 521,665**	4.8%	0.84	**$ 490,401**	6.0%	1.04
SC-1DG Res DG	**$ 8**	-4.0%	(0.70)	**$ 7**	-3.5%	(0.61)
SC-2A GS Non-Heat	**$ 29,781**	23.5%	4.11	**$ 33,803**	18.7%	3.28
SC-2B GS Heat	**$ 55,944**	6.7%	1.17	**$ 192,158**	3.0%	0.53
SC-3A Multi Family Non-Heat	**$ 435**	13.0%	2.28	**$ 535**	8.0%	1.41
SC-3B Multi Family Heat	**$ 21,411**	6.6%	1.15	**$ 30,184**	0.9%	0.17
SC-9 Wholesale NGV	**$ 1,129**	62.3%	10.90	**$ 1,587**	38.4%	6.71
SC 4-7-12-13 TC-IT	**$ 1,398**	40.7%	7.12	**$ 1,359**	42.6%	7.45
SC-15 HLF Service	**$ 3,358**	25.2%	4.41	**$ 4,481**	14.3%	2.50
SC-16 Yr Round Space	**$ 8,017**	6.6%	1.16	**$ 11,911**	0.1%	0.03
SC-17 DG Sales	**$ 20**	-0.4%	(0.07)	**$ 25**	-2.9%	(0.51)
Total	**$ 803,963**	**5.7%**	**1.00**	**$ 803,963**	**5.7%**	**1.00**

Table 1 (KEDNY) and Table 2 (KEDLI) demonstrate the variance in results between an ECOS study that classifies distribution mains as 100% demand related and an ECOS study that classifies distribution mains as partly customer-related based on a hypothetical minimum system. The differences are particularly striking for some classes with customers who have very small gas usage

levels.[40] For example, the resulting revenue requirement allocated to non-heating residential customers as a result of the ECOS Model is almost twice as large in Model 1 than in Model 2. As a result, non-heating residential customers are calculated to have an extremely low rate of return (-1.5% KEDNY and -0.5% KEDLI) if Model 1 is used, but a higher rate of return if Model 2 is used (14.8% KEDNY and 7.8% KEDLI). These rate of return indicators are important for the purposes of revenue allocation. By considering the results of both models, the Commission is provided with more insight into the judgments used to develop the various ECOS studies. Considering both sets of ECOS studies will help the Commission make better, more informed decisions, and it will ameliorate, to some degree, the controversy that surrounds the appropriate classification and allocation of distribution main costs.

3. Flaws in the Minimum System Approach

As the NARUC manual discusses, there is a certain amount of judgment used in any cost of service study, and these judgments may lead to different results.[41] While some of these judgments are relatively non-controversial, a classic example of a highly disputed judgment is the decision to classify some of the costs of distribution mains as being "customer-related," even though mains are shared by many different customers, and the costs cannot be specifically traced to specific customers (2/13/20 Tr. p. 1432).[42] This judgment has been debated for decades. (2/13/20 Tr. p. 18).

[40] UIU observes that the difference between the specific service classification rate of return results computed from each ECOS Model may vary. UIU's concerns are alleviated when both models are considered for revenue allocation purposes.

[41] Ex. 631 (NARUC Manual) p. 19 ("There is no scientifically correct method of making necessary allocations. A certain amount of judgment must be used in any cost of service study.").

[42] Ms. Panko notes, "[I]t's very hard to break down joint costs such as distribution mains. In order to do so, if you were to do so, it takes a series of judgments. Those judgments are highly debated. The minimum system also ignores or disregards the fact that customers have different load profiles, customer densities . . . and the geography of the distribution system." (2/13/20 Tr. p. 1432).

There is no direct way to calculate the customer-related costs of distribution mains. As such, a minimum system or zero intercept study must be developed in order to hypothetically calculate customer-related costs. This method is highly controversial as distribution mains are primarily built to meet demand and the costs associated with distribution mains are dependent upon factors such as the geography, not the number of customers. Ms. Panko aptly noted, "[D]istribution . . . is built to satisfy the demand of the system on its peak design day. It doesn't necessarily mean that it's equally distributed among customers, or at least the cost." (2/13/20 Tr. p. 1432).

As an illustrative example, longer mains are required to reach more widely dispersed customers. The correlation between miles of mains and number of customers is limited, because many other important variables influence the length of the mains required to reach any given location or a specific geographic area, such as population density and characteristics of the housing stock. As a basic matter, longer mains are needed to serve larger, more widely separated buildings, while shorter mains will suffice if an area consists of smaller, more closely spaced buildings.

In rebuttal testimony, New York City witness Mr. Baudino makes the unsupported argument that "the number of customers connected to the distribution system is another important causative factor in distribution main investment." (2/25/20 Tr. p. 5568). Yet, no statistical evidence was provided in the Mr. Baudino's testimony to support this claim. In reality, the minimum system approach rests on the mere assumption that result of hypothetical computations can appropriately be characterized as "customer-related" costs. Yet, in practice, the "customer-related" category is effectively a dumping ground for costs that do not necessarily vary with the size of the pipe. These costs also do not necessarily vary with the number of customers – like the cost of trenching and the cost of re-routing traffic while mains are being installed. There is no justification for requiring

a small customer, such as a neighborhood bodega, to pay the same share of these types of costs as a much larger customer, such as a department store.

Furthermore, even if one accepts the claim that some portion of the cost of mains is "customer-related," there is no straightforward mathematical way to identify, quantify, or separate out this portion from the total. The Companies attempted to overcome this problem by envisioning a hypothetical minimum distribution system consisting entirely of 2-inch distribution main pipes, focusing on minimum distribution main costs of the entire system, while excluding connection costs associated with service lines, associated with FERC Account 380, that connect from the distribution mains to customer premises at the meter. The assumption did not address the need to meet the demands of the entire distribution system. Yet, even setting aside the speculative nature of this approach, and ignoring the fact that 2-inch pipes are not likely capable of serving the maximum load requirements of all customers connected to the distribution system, there are other problems with this approach. A gas distribution system with zero or little load capability (as the minimum system assumes) does not exist and this is contrary to how gas distribution systems are actually designed. Furthermore, the hypothetical assumption of 2-inch plastic mains is purely speculative and inconsistent with the known facts that the KEDNY and KEDLI system includes a wide variety of pipes that are made of plastic, steel, and other materials (2/13/20 Tr. p. 1432).

Finally, it is important to remember that the distribution main is generally not the final connection point to the customer premise. Instead, distribution mains provide paths for delivering gas from the city gate to all locations where the demand for gas exists. They typically run along streets and other rights of way, and do not extend past the right of way to the customer's premises. According to the FERC Uniform System of Accounts, the costs associated with distribution mains include a myriad of elements, besides pipe materials, such as permits, digging up roads and

sidewalks, etc., which are not directly attributable to any specific customer.[43] In contrast, FERC account 380 (Services) are the costs associated with installing each service line from a certain point on the distribution main to the meter located on the premise. As such, the costs associated with service lines are closer to the customer premise than distribution mains. For the purposes of these rate cases, UIU does not object to the Companies' proposed classification of FERC account 380 which allocates costs based on the total service costs divided by the number of customers for each service classification[44] – which is indeed a more direct mathematical calculation than what is used in the minimum system for distribution mains.

As discussed above, UIU opposes relying solely on the minimum system results, because the cost of these mains are not directly related to the number of customers being served. For example, a relatively small length of main is needed to reach from the city gate to the service line in some cases, while miles of main are needed to reach from the city gate to the service line in other cases. Yet, under Model 1, the same identical share of 47% (KEDNY) and 46% (KEDLI) of the costs of mains is declared to be "customer-related" and assigned to each customer, regardless of their actual location, circumstances, or other characteristics. UIU finds this approach too flawed to be relied upon alone.

B. Revenue Allocation

As noted above, UIU recommends the Commission consider the results of both ECOS studies for revenue allocation purposes. Ms. Panko stated,

[43] Ex. 631 p. 132-33.

[44] The specific details regarding KEDNY's allocator can be found on pages 5-6 of 14 of Exhibit 129 (RDP-3, Schedule 7D). The allocator is applied to FERC Account 380 on pages 1-2 of Exhibit RDP-6, Schedule 6F. The calculation of average service class cost for the allocator is provided in the workpapers of the KEDNY_19 Allocators.xlsm Services tab.

> While I do not necessarily agree with the minimum system method, I don't object to giving it some consideration in these proceedings, since the combination of both ECOS models provides a range of reasonable outcomes consistent with the approaches that have been approved by the Commission or utilized by other New York utilities for revenue allocation purposes in prior rate cases. (2/13/20 Tr. p. 1379).

As discussed, ECOS studies involve some of the most highly debated and controversial issues considered during the utility ratemaking process, not only in New York, but around the country. As such, the NARUC manual recognizes there are a range of potentially reasonable ECOS methodologies. The subjective judgments and simplified assumptions within an ECOS study methodology may lead to a wide variety of results.[45] Relying solely on the flawed minimum system ECOS methodology proposed by the Companies[46] for revenue allocation purposes could lead to significant rate impacts for certain service classes. As Ms. Panko argued in her direct testimony,

> The Companies' proposed revenue allocation gives too much weight to the Companies' ECOS results based on the minimum system approach (exclusively focusing on these RORs to determine if individual classes are underearning/overearning). Also, some of the proposed changes in delivery rates are too extreme. For instance, KEDLI is proposing a revenue decrease of 36% for SC9 NGV and an increase of 15.6% (two times the system average of 7.8% equating to 15.6%) for SC 1A residential non-heat and SC 1DG residential Distributed Generation . . . . (2/13/20 Tr. p. 1379).[47]

For the purposes of these rate cases, UIU proposes that both types of ECOS models are considered for revenue allocation purposes.

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[45] *See supra*, footnote 40, at 20. *See generally supra*, p. 17-20.

[46] *See supra*, footnotes 41-44 and accompanying text, at 20-23.

[47] UIU observes that Ms. Panko's direct testimony addressed the Companies' initial revenue allocation proposals from their testimony filed in April 2019. The Companies provided modified revenue allocation proposals and ECOS studies to reflect changes to their proposed revenue requirement. *See generally* Exhibit 726 (RDP-3ATS and RDP-3BTS, KEDNY and KEDLI Embedded Cost of Service Study ("ECOSS")), Exhibit 727 (RDP-4ATS and RDP-4BTS – KEDNY and KEDLI Revenue Allocation, Rate Design and Bill Impacts)), and Exhibit 729 (RDP-12ATS and RDP-12BTS – KEDNY and KEDLI ECOSS using 100 percent demand classification for distribution main costs). UIU continues to be concerned that the Companies' revenue allocation proposal affords the minimum system ECOS study too much weight.

These disparate impacts can be ameliorated or avoided by considering the 100% demand approach (Model 1) along with the minimum system approach (Model 2). The 100% demand approach is part of the "basic system theory" which has been widely accepted, is recognized by the NARUC manual, and it has been considered in other utility rate cases both in New York state and in other jurisdictions.[48] Furthermore, as Ms. Panko explains, "there is a greater correlation between [main costs and] peak demand than the number of customers, which the minimum system attempts to do" (2/13/20 Tr. p. 1424). Ms. Panko's testimony also referenced several cases parties to utility rate cases supported the use of 100% demand; one such example was the direct testimony filed by NYSEG and R&GE in their 2019 rate cases. (2/13/20 Tr. pp. 1369-1370). In rebuttal testimony in those cases, NYSEG and RG&E's witness subsequently proposed to classify gas distribution mains using an arbitrary 50%/50% customer demand split.[49] This modified proposal was offered on rebuttal, in response to suggestions from parties that preferred the minimum system approach or an ECOS study that included a customer component in the classification of distribution mains.[50] Regardless of the intent, this modified position on rebuttal does not defeat the argument that the 100% demand approach is a reasonable approach that has been discussed in other cases both in New York and in other jurisdictions.

At this juncture, it is not possible to quantify the impact of this issue, which will depend on the final revenue requirement adopted by the Commission. UIU observes that there is a substantial

[48] *See supra*, footnotes 24 and 25 at 12.

[49] Cases 19-G-0379 *et al.*, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of New York State Electric & Gas Corporation for Gas Service*, Corrected Rebuttal Testimony of David A. Heinz, at 15 (filed Oct. 18, 2019) ("The Companies recognize that the use of a 50/50 demand/customer allocation differs from the approach supported by the Companies in previous rate proceedings. In these current cases, the Companies re-evaluated moving to the 50/50 allocation approach and now support the 50/50 allocations . . . .").

[50] *Id.* ("Q. Staff Gas Rates Panel and MI recommend that the Gas ECOS studies should adopt a customer component of mains similar to that employed in the Electric ECOS studies. Do you agree with these recommendations? A. Yes. The Companies agree with the Staff Gas Rates Panel for the use of a 50/50 demand/customer allocation for distribution mains based on a minimum system methodology.").

difference between the revenue requirement proposed by KEDNY and KEDLI and the revenue requirement proposed by DPS Staff.[51] The general principles discussed by Ms. Panko that were illustrated in Exhibit 562,[52] however, can be used as guidance once the Commission establishes the final revenue requirement for each Company. First, Ms. Panko recommends reviewing the results of both pro forma ECOS studies (100% demand and minimum system) in combination with the Companies' proposed tolerance band of plus or minus 25%, to determine whether the service class is under earning, over earning, or collecting revenues close to the system average. The chart below illustrates the ECOS results provided with the Companies' initial testimony:

[51] *Compare* 2/14/20 Tr. p. 2055 (KEDNY proposes a Rate Year revenue requirement of $199.594 million) and p. 2303 (KEDLI proposes an updated Rate Year revenue requirement of $59.476 million) with 2/14/20 Tr. p. 2434-35 ("Staff recommends a base delivery revenue requirement decrease of $39.902 million . . . for KEDLI. Staff recommends a base delivery revenue requirement increase of $31.024 million . . . for KEDNY.").

[52] UIU observes that the illustrative example includes the ECOS results and revenue allocation proposal from the Companies' initial testimony filed in April 2019. In February 2020, the Companies filed updated ECOS studies and revenue allocation proposals to reflect the revenue requirement from their January 2020 supplemental testimony. *See generally* Exhibits 726-27 and 729. The UIU exhibit provides an illustrative example on applying the results of both ECOS studies in the revenue allocation process after the Commission establishes the final revenue requirement.

Table 2a – Service Classification Embedded Cost of Service Study Results

KEDNY Service Classification	**Company Initial ECOS 100% Demand**	**Company Initial ECOS 52.92% Demand & 47.08% Customer (Minimum System Method)**
SC-1A Residential Non-Heat	Over Average Return	Under Average Return
SC-1B Residential Heat	Within Average Return	Within Average Return
SC-1DG Res DG	Under Average Return	Under Average Return
SC-2-2 Non-Res Non-Heat	Over Average Return	Over Average Return
SC2-2 Non-Res Heat	Under Average Return	Within Average Return
SC-3 Multiple Family	Under Average Return	Under Average Return
SC-4A High Load Factor	Within Average Return	Over Average Return
SC-4A CNG	Over Average Return	Over Average Return
SC-4B Year Round AC	Over Average Return	Over Average Return
SC-6C TC/IT	Over Average Return	Over Average Return
SC-7 Seasonal	Under Average Return	Under Average Return
SC-21 DG Sales	Under Average Return	Under Average Return
*Assumes +-25% tolerance band as proposed by the Company		

Table 2b– Service Classification Embedded Cost of Service Study Results

KEDLI Service Classification	**Company Initial 100% Demand**	**Company Initial 53.83% Demand & 46.17% Customer (Minimum System Method)**
SC-1A Residential Non-Heat	Over Average Return	Under Average Return
SC-1B Res Heat	Within Average Return	Within Average Return
SC-1DG Res DG	Under Average Return	Under Average Return
SC-2A GS Non-Heat	Over Average Return	Over Average Return
SC-2B Heat	Under Average Return	Under Average Return
SC-3A Multi Family Non-Heat	Over Average Return	Over Average Return
SC-3B Multi Family Heat	Under Average Return	Within Average Return
SC-9 Wholesale NGV	Over Average Return	Over Average Return
SC4-7-12-13 TC/IT	Over Average Return	Over Average Return
SC-15 HF Service	Over Average Return	Over Average Return
SC-16 Yr Round Space	Under Average Return	Within Average Return
SC-17 DG Sales	Under Average Return	Under Average Return
*Assumes +-25% tolerance band as proposed by the Company		

Second, Ms. Panko proposes specific parameters to address the instances where a service class has contradictory results from the two ECOS studies, i.e. a service class is earning an above average return according to one ECOS study but earning a below average return according to another ECOS study.[53] Third, Ms. Panko also recommends the establishment of restrictions on how much any service classification deviates from the system average increase (2/13/20 Tr. p. 1379-81). The illustrative revenue allocation proposal includes suggested boundary requirements, but Ms. Panko recommends that the final boundary conditions be set based on the final revenue requirement the

[53] 2/13/20 Tr. p. 1380 ("If the two ECOS studies yield contradictory conclusions (e.g., one study shows a class as earning below the tolerance band and the other shows it as earning above the tolerance band), the conflict should be resolved by treating the class the same as the one that falls within the tolerance band.").

Commission adopts for each Company. The boundary would include a lower and upper bound on rate changes, so that no one service classification receives a rate change significantly more or less than other classes. Considering the proper boundary conditions is a critical judgement step that must be performed each time the revenue allocation step is run "to avoid placing an excessive burden on any class, and to ensure that the service classes help share some of the burden on the rate increase." (2/13/20 Tr. pp. 1379-80).

C. Rate Design

After the Commission determines the revenue allocation to individual classes, the next step is to determine how to design rates for each service classification. As discussed in Ms. Panko's testimony, several variables impact rates, including "1) revenue requirement, (2) revenue allocation, (3) customer charges, and (4) the portion of the revenues that flow through each of the volumetric rates (e.g., increasing the ratio of tail-block to mid-block)." (2/13/20 Tr. p. 1386). As Ms. Panko explained potential rate design approaches, she noted that her recommendation would ultimately depend "upon the final revenue requirement for each utility, which will influence the magnitude of any potential changes to the customer charge and volumetric rates." (2/13/20 Tr. p. 1386).

As discussed in the ECOS and Revenue Allocation sections, there is a significant difference between the revenue requirement proposed by Staff and that proposed by the Companies in these rate cases. Additionally, the revenue allocation process can affect the revenue increase allocated to each service class. As Ms. Panko recognized, "The revenue target allocated to each SC [service class] together with the fixed monthly customer charge and portion of the revenues that flow through each of the volumetric rates (*e.g.*, increasing the ratio of tail-block to mid-block) can potentially have an impact on the optimal rate design for each SC." (2/13/20 Tr. p. 1352). As a

general principle, the magnitude of any decrease to the minimum monthly charge and/or adjustments to the volumetric rate structure should not be determined until the Commission selects the final revenue requirement and revenue allocation process for each Company. Depending on the magnitude of the rate increase for individual service classes, significant changes to the minimum charge or volumetric rate structure could unduly increase customers' bill volatility. On the other hand, if there is a revenue requirement decrease for KEDLI and a moderate increase for KEDNY, as proposed by DPS Staff,[54] adjustments to the minimum charge and volumetric rate structure may be appropriate. Additionally, any rate design changes can be incorporated into the Companies' outreach and education materials, to make sure customers are aware of how these changes may impact their bills.[55]

At this time, because it is unclear what revenue requirement and revenue allocation process the Commission will adopt for each Company, UIU offers these general comments, along with an illustrative example of an approach that UIU supports as reasonable for designing rates for residential customers.[56]

1. KEDNY/KEDLI Residential Non-Heating SC 1A

As discussed in Ms. Panko's testimony, "[t]he Companies' Residential Non-Heating SC 1A classes are very sensitive to any rate adjustments" (2/13/20 Tr. p. 1386). As such, Ms. Panko recommends cautiously disengaging from the existing, steeply declining volumetric rate design (2/13/20 Tr. p. 1386). Along with basic rate design guidance, any such transition should be gradual,

[54] *See* 2/14/20 Tr. p. 2434-35 ("Staff recommends a base delivery revenue requirement decrease of $39.902 million . . . for KEDLI. Staff recommends a base delivery revenue requirement increase of $31.024 million . . . for KEDNY.")

[55] *See also* 2/13/20 Tr. p. 1495-96 (discussing the proposal from the Staff Gas Rates Panel to flatten the rate blocks for firm customers, ". . . as such, we recommend the Commission require the Companies to conduct additional outreach and education to ensure customers are aware that higher gas usage may increase their monthly bill. This outreach should be in the form of bill inserts, website updates, and customer emails and/or letters/postcards.")

[56] The guidance offered by UIU assumes a revenue requirement that is closer to the DPS Staff proposal than the Companies' request.

in order to protect customers, including high usage customers (2/13/20 Tr. p. 1386). If the Commission's order in these rate cases adopts reductions in the residential SC 1A class revenue responsibilities, or reductions in overall revenue requirements "greater movement toward flat rates (especially for KEDLI since KEDLI SC 1A has a lower tail-block to mid-block ratio than KEDNY as well as a lower tail-block rate)" may be appropriate (2/13/20 Tr. p. 1386-87). In addition, "[f]or the higher users (*e.g.*, customers who use greater than 500 therms per month while typical customers use 10-21 therms), the Companies should also check to make sure these customers are in fact non-heating customers, and move them to the correct class, where applicable" (2/13/20 Tr. p. 1386-87).

2. KEDNY/KEDLI Residential Heating SC 1B

As discussed in Ms. Panko's testimony,

> The Companies' residential SC 1B heating rates should be [] designed to more effectively encourage energy efficiency improvements. As such, the SC 1B heating rates should, at a minimum, be gradually moved away from a declining volumetric rate toward a flat rate. This recommendation contrasts with the Companies' proposal to continue a declining rate structure for SC 1B with a similar tail-block rate (Block 3) to mid-block rate (Block 2) ratio, because that approach makes no movement toward encouraging greater energy efficiency. The Companies' SC 1B tail-block rates are lower than the Companies' SC 1A tail-block rates, but in both cases careful consideration must be made on how far the tail-block rates can be increased before unacceptably severe bill impacts affect the high users in these classes. (2/13/20 Tr. p. 1387).

Ms. Panko thus concludes that a final recommendation would be based upon final revenue requirements, as an analysis would be necessary to preclude severe bill impacts for higher users.

3. Targeted Assistance for High Usage Customers

As recommended by Ms. Panko, UIU supports the continuation of targeted assistance for high

usage customers to better control their gas bills Ms. Panko states that such "customers need to understand the options they have for weatherization of their home or business, replacing an older furnace with a newer, more efficient one, installing programmable thermostats, and other actions they can take to reduce their monthly utility bill" (2/13/20 Tr. p. 1388). These measures are important for reaching state energy goals and also for assisting customers in managing their costs, which guards against arrears and other potential issues.

IX. GAS POLICY AND ENERGY EFFICIENCY

M. Earnings Adjustment Mechanisms

UIU recommends that the Commission reject the Companies' proposal for an Affordability Earnings Adjustment Mechanism ("EAM"). The Companies state that the Affordability EAM is "an outcome-oriented energy efficiency metric measuring the annual percentage reduction in average low-income customer bills" (2/10/20 Tr. p. 131). For context, this metric measures the annual total bill for low-income customers, including delivery and supply charges; the commodity (wholesale energy) costs are included in the calculation (Exhibit 560 (GCC-1), UIU-53 p. 3-4). The Companies initially proposed to receive one basis point, approximately $330,090 for KEDNY[57] and approximately $213,230 for KEDLI,[58] for each 0.2% reduction in the average low-income customer bill. In rebuttal, the Companies proposed to move the target to 1 basis point per 1% reduction (2/10/20 Tr. p. 201). The Companies did not propose a cap on the basis points they could receive for this incentive.

[57] Ex. 560 (GCC-1) p. 7 (Companies response to UIU-19) (Company stated for KEDNY 100 basis points = $33.009 million; 1 basis point is approximately $330,090 based on the Company's initial testimony revenue requirement).

[58] Ex. 560 (GCC-1) p. 7 (Companies response to UIU-19) (Company stated for KEDLI 100 basis points = $21.323 million; 1 basis point is approximately $213,230 based on the Company's initial testimony revenue requirement).

UIU recommends that the Commission reject the Companies' proposal for an affordability EAM because (1) the Companies could be rewarded for activities outside their control, where supply cost will be utilized as a factor in determining performance, and (2) the Companies can be earning a reward greater than the benefits they are providing to consumers .

As the direct testimony of Mr. Collar observed, the Companies are proposing to receive an incentive for savings in a customer's total bill, and thus "the Companies could be rewarded for a reduction in the wholesale natural gas price, which they have little or no control over" (2/13/20 Tr. p. 1812). Additionally, there are several energy efficiency initiatives available from outside of the Companies' activities that already focus on reducing energy bills for low-income customers.[59] Taken together, it appears that the Companies "could be rewarded for a reduction in a low-income customer's bill without undertaking additional efforts to assist those customers." (2/13/20 Tr. p. 1812).

Alternatively, if an affordability EAM is desired in the future, a scorecard metric, with no incentive, can be adopted for the term of this rate plan.[60] The scorecard metric will allow parties to have time to evaluate the merits of such an EAM and possibly revisit it in a future rate case. Mr. Collar also recommends that the Companies submit annual reports as part of the scorecard metric, that explain "the approaches [taken] to reduce low income customer bills" and includes "the average annual low-income customer bill compared to the previous year." (2/13/20 Tr. p. 1813). The various calculations and considerations for this EAM lean in favor of the Companies in every instance, and not in favor of the ratepayers. The Commission, at best, should decline the request

[59] For examples, *see* 2/13/20 Tr. p. 1810-11.

[60] In addition, because one year may not be enough time to gain a firm understanding of how an affordability EAM would work, the scorecard metric could continue for the next two or three years, until rates are reset by the Commission.

and, at worst, should simply direct the Companies to perform a scorecard metric and begin developing data to better inform such a request for a future rate proceeding.

Q. Consistency of Rate Design and Revenue Allocation with Climate Leadership and Community Protection Act

The Climate Leadership and Community Protection Act ("CLCPA") established state climate goals; it also established a process for developing a statewide scoping plan within three years of the legislation's effective date.[61] It is UIU's position that any proposed changes to utility rate design and revenue allocation resulting from goals and activities pursuant to the CLCPA must be determined in a statewide generic proceeding.

XI. CUSTOMER SERVICE

A. Customer Service Performance Metrics; Performance Measures in a One-Year Case

The Commission should maintain and strengthen KEDNY and KEDLI's current customer service performance metrics. As Mr. Collar explained,

> Due to the monopolistic nature of utility service, customers cannot select another delivery service provider if they are not satisfied with the quality of service they receive from KEDNY or KEDLI. Meaningful measures associated with appropriate financial risk are required to ensure that utility companies provide adequate service to their customers. Structured correctly, customer service performance measures provide utilities with powerful incentives that should result in the high level of service to which customers are entitled. (2/13/20 Tr. p. 1796).

Most major investor-owned utilities in New York State are subject to a customer service performance incentive mechanism that imposes an earnings consequence on the utility if it fails to

[61] Climate Leadership and Community Protection Act, Ch. 106 of the Laws of 2019 (*see* ENVTL. CONSERV. L. § 75-0103(11)).

meet specified customer service quality performance standards.[62] The terms of these mechanisms are established in individual utility rate cases. KEDNY and KEDLI's current rate plans, most recently adopted in Cases 16-G-0058 and 16-G-0059, assigned a customer service quality performance target for four metrics: (1) annual Commission complaint rate per 100,000 customers ("PSC Complaint Rate");[63] (2) Residential Customer Transaction Satisfaction Index;[64] (3) percentage of customer calls answered in 30 seconds ("Telephone Answer Rate");[65] and (4) Adjusted Customer Bills.[66] If KEDNY or KEDLI failed to meet the performance target(s), when looking at the average of twelve-monthly scores, a Negative Revenue Adjustment ("NRA") would be incurred (2/13/20 Tr. p. 1794). The service quality performance target sets a minimum standard for quality service. The corresponding NRA provides financial relief to customers if a utility fails to provide the high level of service to which customers are entitled. If a utility fails to meet its target, the mechanism shows that customers have overpaid for the quality of service that was received. The NRA, in this way, represents a refund to the customer for that overpayment.

In initial testimony, KEDNY and KEDLI proposed to continue their current service quality metrics, targets, and NRAs without modification (2/12/20 Tr. p. 1130). Subsequently, in rebuttal

[62] Case 15-M-0566, *In the Matter of Revisions to Customer Service Performance Indicators Applicable to Gas and Electric Corporations*, Order Adopting Revisions to Customer Service Reporting Metrics, at 5-7 (issued Aug. 4, 2017).

[63] The Joint Proposal described the parameters of the PSC Complaint Rate metric in both the KEDNY and KEDLI rate plans. *2016 JP*, *supra* note 3, at 42-43 (KEDNY) and 91-92 (KEDLI).

[64] The Joint Proposal described the parameters of the Customer Satisfaction metric in both the KEDNY and KEDLI rate plans. *2016 JP*, *supra* note 3, at 44 (KEDNY) and 93 (KEDLI) (Regarding KEDNY, "based on the satisfaction ratings resulting from a random survey of residential customers who have contacted KEDNY." *Id.* at 44.).

[65] The Joint Proposal described the parameters of the telephone answer rate metric in both the KEDNY and KEDLI rate plans. *2016 JP*, *supra* note 3, at 45 (KEDNY) and 94 (KEDLI) (Regarding KEDNY, "[t]his is a measure of the proportion of customer service calls answered by a KEDNY representative within 30 seconds, expressed as a percentage of the total calls answered." *Id.* at 45.).

[66] The Joint Proposal described the parameters of the adjusted customer bills metric in both the KEDNY and KEDLI rate plans. *2016 JP*, *supra* note 3, at 45 (KEDNY) and 94 (KEDLI) (Regarding KEDNY, "[t]his is a measure of the proportion of customer bills that require later adjustment as a result of errors by KEDNY, expressed as a percentage of total customer bills." *Id.* at 45.).

testimony, the Companies claimed that "[a]s the Companies have demonstrated good performance in meeting the service quality metrics over the years, there is no basis to include metrics in a one-year litigated case" (2/12/20 Tr. p. 1203). The Companies' conclusory statement that there is "no basis" to include metrics in a one-year litigated case is supported only with a general reference to a Commission Order in Case 16-G-0257, where the Commission declined to require NRAs for service quality metrics in a one-year litigated case for National Fuel Gas based on the facts and circumstances of that case.

UIU recommends that the Commission reject the arguments made by the Companies. Instead, the Commission should adopt Mr. Collar's recommendation, which is based on the principle that customers are entitled to an evolving level of high-quality customer service. For each of Mr. Collar's proposed adjustments to the Companies' Customer Service Performance Mechanism ("CSPM"), Mr. Collar has recommended modified targets by calculating the Companies five-year average performance and applying two standard deviations (2/13/20 Tr. at p. 1798). UIU observes that in this case, DPS Staff suggests that the CSPM targets be set using a three-year average (2/13/20 Tr. p. 1466), instead of the five-year average used to set targets in previous utility rate plans.[67] UIU continues to recommend the use of a five-year average because the additional data would help mitigate weather and other variables that may fluctuate year to year.

The standard for "safe and adequate service" is not static. Utility customers have a reasonable expectation that their service should improve over time. As Mr. Collar explained,

[67] *See e.g.*, Case 19-E-0065 *et al.*, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service*, New York State Department of Public Service Staff Statement in Reply to Opposition [of Joint Proposal], at 22 (filed Nov. 13, 2019) ("[C]ertain exogenous factors can impact a utility's escalated complaint rate, which is why Staff uses a five-year average of the Company's past performance as a basis for modification of the complaint rate metric. This methodology allows such exogenous events, such as bill fluctuations, hurricanes and other major weather events, or economic conditions in the service territory to be 'averaged' out.")

> Customer service performance targets should therefore be set at levels that challenge utilities to achieve enhanced customer service, rather than staying with the status quo. A target that a Company has no trouble meeting fails to adequately incent the Company to improve its performance. (2/13/20 Tr. p. 1798.)

The Companies' testimony vaguely references concern about "circumstances outside of the Companies' control" that may impact its ability to meet certain targets (2/12/20 Tr. at 1208).[68] When asked to provide examples of such "circumstances," the Companies mentioned issues such as the polar vortex in upstate New York, the impact of which was not applicable to KEDNY or KEDLI (2/12/20 Tr. p. 1285-86), and "navigating a new landscape with a number of changes to employment law" (2/12/20 Tr. p. 1283).[69] Conversely, the Companies did also acknowledge that factors outside each Company's control could actually make it easier for a utility to meet the same targets (2/12/20 Tr. p. 1286).[70] The Companies' testimony also stated that "[d]ata show the existing targets are difficult to achieve during periods of peak demand or extreme temperatures" (2/12/20 Tr. p. 1131). As the Companies' Shared Services Panel witness admitted, however, such data just refers to the Companies' exhibit that shows prior performance on CSPMs; it does not explain how certain circumstances, such as periods of peak demand, affected the Companies' performance relative to those targets.[71]

[68] "Although the Companies have been successful in achieving the targets in recent years, circumstances outside of the Companies' control can cause performance to decline in any given year, in spite of the Companies' best efforts."

[69] Claiming that "[t]he increase in the minimum wage, has increased our competition with other businesses in our area for entry-level workers and that is making it more difficult to attract and retain qualified workers" (2/12/20 Tr. p. 1283).

[70] "And, isn't it true that there are also factors outside the Company's control, such as lowering natural gas prices that can make it easier for the Companies to achieve these metrics? A. That would be logical, yes."

[71] The witness acknowledged that the data did not explain the connection between a period of peak demand and the impact on any particular customer service quality metric: "Q. But, that data does not explain how there was a period of peak demand that made it particularly hard for the Company to meet a certain service quality metric or the nexus, correct? A. Not specifically, no."

To further appease the Companies' concerns, UIU points to Mr. Collar's recommended approach to setting targets, by applying two standard deviations to a utility's five-year average of performance. This approach would mitigate the Companies' concerns, by accounting for the effects of changes in weather or other variables that may occur year to year. Additionally, the Companies' prior rate plans included a clause that allowed the Companies to petition the Commission for relief from an associated NRA if the Companies perceive an "inability to meet any of the established targets was attributable to *force majeure* circumstances (causes that are outside the control of KEDNY and could not be avoided with the exercise of due care).[72]

UIU further argues that, by referring to hypothetical circumstances, the Companies dismiss the central purpose of the CSPM, which is the setting of standards for adequate customer service. The CSPM serves as a safeguard to ensure customers receive evolving high-quality service to which they are entitled, and the Companies' right to petition the Commission regarding a *force majeure* circumstances preserves the ability to make objective decisions about adjustments to the metric when more specific information on such an event is known.

The Commission has authority to set customer service requirements and associated NRAs. The New York State Legislature has delegated broad powers to the Commission under the Public Service Law ("PSL") to ensure that utilities provide "safe and adequate service" at "just and reasonable" rates.[73] This includes the power to determine the level of service that qualifies as "safe and adequate," and to set corresponding conditions on service delivery.[74] Setting standards for the quality of customer service exists well within that authorization. UIU supports the continuation of the Companies' current CSPM structure with changes to the targets for the following metrics: PSC

[72] *2016 JP*, *supra* note 3, at 46 (KEDNY) and 95 (KEDLI).

[73] PUB. SERV. L. § 65(1).

[74] PUB. SERV. L. § 66(1).

Complaint Rate for KEDNY; Customer Satisfaction for KEDNY; Telephone Response Rate for KEDLI; and Adjusted Bills for KEDNY and KEDLI. Any CSPM structure, which includes an NRA if a target is missed, adopted in these rate cases should continue until modified by the Commission.

1. PSC Complaint Rate for KEDNY

Consistent with the principles described above, the Commission should adopt UIU witness Gregg Collar's recommendation to adjust KEDNY's PSC Complaint Rate from 1.1 to 0.7 complaints (i.e., 7 complaints per 100,000 customers) (2/13/20 Tr. p. 1799). As with each of Mr. Collar's proposed adjustments to the CSPM, Mr. Collar reviewed the five years of historic performance data provided by the Company and set a target that is two standard deviations from the five-year average.

Mr. Collar's recommendation to lower the target from 1.1 to 0.7 complaints per 100,000 customers is reasonable and should be adopted. KEDNY's five-year average performance was 0.5 complaints, far below the current target (2/13/20 Tr. p. 1799). If the current target is maintained, KEDNY's complaint rate could increase substantially before incurring an NRA. Thus, the current target does not provide an effective incentive for KEDNY to maintain or improve its present level of service quality.

DPS Staff recommends that KEDNY's PSC Complaint Rate metric be set at 1.0. DPS Staff acknowledged that the methodology they recommended for other customer service quality performance measures, which is to apply two standard deviations to the three-year average, would set the KEDNY PSC Complaint Rate at 0.67. DPS Staff stated, however, that such a target would

> be too stringent at this time. The lowest target currently in effect at a New York State utility is 1.0; therefore, we recommend the Commission adopt a target of 1.0 as we consider this to be fair and reasonable and in line with

> other New York utilities while also being more reflective of their current operating environments (2/13/20 Tr. p. 1472).

UIU disagrees with the approach of using a statewide standard to set a floor for the target of the PSC Complaint Rate metric. Any such standard has not been established in a statewide proceeding through the development of an evidentiary record. Instead, the majority of these standards have been established in individual negotiated utility rate cases. Even as an initial matter, and as DPS Staff acknowledged, when comparing KEDNY to other utilities statewide, the comparison inevitably includes combination gas and electric utilities (2/13/20 Tr. p. 1596-97). There are different factors to consider when comparing a gas-only utility with a combination electric and gas utility. To begin with, gas-only utilities experience fewer outages than electric utilities because unlike the electric system, the entire delivery system is underground. UIU, therefore, requests the Commission prioritize objective data that is available when determining this metric—past performance, which establishes a reasonable expectation, and the five-year average with two standard deviations, which tempers fluctuations in year-to-year operating conditions.

2. Customer Satisfaction for KEDNY

Consistent with the principal of gradual quality improvement, the Commission should adopt Mr. Collar's recommendation to increase the service quality target for KEDNY. As Mr. Collar explained, KEDNY's performance over the last five years has met or exceeded its current Residential Transaction Satisfaction Index target by a considerable margin (2/13/20 Tr. p. 1799-1800). Mr. Collar's proposal sets the target at a level that is two standard deviations from the five-year average, a satisfaction index of 86.4% (2/13/20 Tr. p. 1800). This would represent an increase over the current target of 84.8% (2/12/20 Tr. p. 1207). This modified target provides a better

incentive to ensure customers receive the high-quality service to which they are entitled. UIU's proposal also limits the potential impact of external factors during any given year.

3. Telephone Answer Rate for KEDLI

Consistent with the principal of gradual quality improvement, the Commission should adopt Mr. Collar's recommendation to increase the service quality target for KEDLI. As Mr. Collar explained, KEDLI's performance over the last five years has met or exceeded its current Telephone Answer Rate target by a considerable margin (2/13/20 Tr. p. 1800). Mr. Collar's proposal sets the target at a level that is two standard deviations from the five-year average, a response rate of 64.4%. (2/13/20 Tr. p. 1800). This is an increase over the current target of 62.2% (2/12/20 Tr. p. 1207). This modified target provides a better incentive to ensure customers receive the high-quality service to which they are entitled. Further, while the Companies' testimony states concern that circumstances outside their control could affect its performance, the Companies failed to explain why they could not take measures to ensure that customer service standards are adequately maintained.[75]

4. Adjusted Customer Bills for KEDNY and KEDLI

Consistent with the principal of gradual quality improvement, the Commission should adopt Mr. Collar's recommendation to increase the service quality target for both KEDNY and KEDLI. Under the current metric, both KEDNY and KEDLI will not incur an NRA until their service targets exceed 1.69% (2/13/20 Tr. p. 1800). This metric has a minimum, intermediate, and maximum rate interval with an increasing NRA amount for each interval exceeding 1.7%, 1.8%, and 1.9%. As Mr. Collar explained, KEDNY and KEDLI's performance over the last five years

[75] *See* 2/12/20 Tr. p. 1208.

has met or exceeded its current adjusted bills target by a considerable margin (2/13/20 Tr. p. 1801). Based on Mr. Collar's methodology of applying two standard deviations to the five-year average, Mr. Collar recommends that the minimum target be set at 0.62% (KEDNY) and 1.5% (KEDLI), with the rate intervals adjusted as shown in Hearing Exhibit 561 (GCC-2, p. 2). This modified target provides a better incentive to ensure customers receive the high-quality service to which they are entitled.

B. Terminations/Uncollectible Incentive Mechanism

If the Commission does continue a terminations and uncollectible incentive mechanism in these rate cases, the Commission should include additional protections for ratepayers to ensure the Companies are not rewarded for business as usual. The rate plans adopted in Case 16-G-0058 and 16-G-0059 ("2016 rate plans") established a terminations and uncollectibles incentive performance mechanism

> that provides each Company a positive financial incentive if it meets or exceeds certain residential terminations and bad debt expense targets. The metric is designed to incentivize the Companies to "identify and implement new measures to reduce residential service terminations for nonpayment while decreasing, or maintaining, the level of bad debt from residential accounts. (2/13/20 Tr. pp. 1801-02) (citations omitted).

The specifics of the mechanism adopted in the 2016 rate plans are enumerated in the testimony of Mr. Collar (2/13/20 Tr. p. 1802-03). In both 2017 and 2018, KEDNY earned the maximum annual incentive of $1.26 million for meeting both the terminations and uncollectibles incentive targets. In 2017 and 2018, KEDLI earned a positive revenue adjustment of $0.360 million for achieving only the terminations incentive target.

The Companies propose to continue the incentive mechanisms in these rate cases, with adjusted target levels. For KEDNY, the Company proposes to set new target levels based on the

methodology approved in the 2016 rate plan; specifically, KEDNY omitted the high and low outliers from seven years of data, relying on a five-year average and applying one standard deviation. For KEDLI, the Company proposes to apply one standard of deviation to the average of four years of data available, which represents a timeframe beginning after the separation of the Long Island Power Authority's electric business in 2014. (2/13/20 Tr. p. 1803-04).

UIU witness Mr. Collar recommends that, if such a metric does continue, it must include safeguards for ratepayers to make sure the Companies are not rewarded for business-as-usual performance. These safeguards include setting aggressive targets that are true stretch goals for the Companies. Mr. Collar proposes that the Companies set the targets by applying two standard deviations to the five-year average (KEDNY) and four-year average (KEDLI) (2/13/20 Tr. p. 1804-05).[76]

Contrary to the Companies Shared Services Panel's claims, setting targets at two standard deviations instead of one is an appropriate stretch goal. In fact, National Grid's upstate New York utility, Niagara Mohawk, has a rate plan that adopted a positive (lower) target for its terminations and uncollectibles metric that appears close to DPS Staff's testimonial proposal for a target that is two standard deviations from the historical average.[77]

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[76] In these cases, Mr. Collar agrees with the Companies' position of using a four-year average for KEDLI because the Company stated only four years of data is available following the separation of the LIPA business. Mr. Collar's specific target recommendations are enumerated in GCC-3, Hearing Exhibit 634, at 2.

[77] Case 17-E-0238 *et al.*, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Niagara Mohawk Power Corporation d/b/a National Grid for Electric Service*, DPS Staff Consumer Services Panel Direct Testimony, at 25 and 27 (filed Aug. 2017) ("Q. Why did the Panel use two standard deviations when calculating the targets? A. Targets should be designed to ensure that the Company is neither rewarded nor punished for results within a normal range of variation. Statistically, a result that is more than two standard deviations from the average carries a 95 percent confidence level that the result is not due to normal, random variations."). *See also* Case 17-E-0238 *et al.*, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Niagara Mohawk Power Corporation d/b/a National Grid for Electric Service*, New York State Department of Public Service Staff Statement in Support of Joint Proposal, at 72 (Feb. 1, 2018) ("The Joint Proposal establishes an annual symmetrical incentive for combined electric and gas segments that could result in a full or partial positive or negative revenue adjustment. A positive revenue adjustment would be (i) seven basis points if residential service terminations are below 43,000 and uncollectibles are below $39.4 million, or (ii) three

The Companies failed to provide a credible reason not to consider the more stringent targets, and only focused on concerns that it is not achievable. A utility positive revenue adjustment should only be offered for true stretch goals and the Companies have not provided a credible reason to deviate from the target setting methodology proposed by Mr. Collar.

DPS Staff and the Public Utility Law Project recommend that the metric also include a target for arrears (2/13/20 Tr. 1485-86 and 1620). While not included in our initial testimony, UIU supports this proposal because it can help ensure the Companies are taking holistic actions to assist customers with paying their bills and maintaining an essential service. UIU notes that several recent utility rate plans have included a metric that sets discrete targets for terminations, uncollectibles, and arrears.[78]

X. LOW INCOME PROGRAM

A. Calculating Discounts and Eligibility

Pursuant to the petition filed by the City of the New York ("NYC") on January 31, 2020,[79] UIU recommends that the Commission direct NYC's low-income bill discount proposals in these cases to its generic statewide proceeding that is currently reevaluating the discount methodology.[80]

DPS Staff's Consumer Services Panel addressed NYC's proposal in rebuttal testimony and stated NYC "proposes to dramatically increase the level of discounts for eligible customers in a

basis points if one of the above levels are met and either terminations or uncollectibles stay below the five-year average.").

[78] *See, e.g.*, Case 19-E-0065 *et al*., *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service*, Joint Proposal, at 101-02 (filed Oct. 18, 2019).

[79] Case 14-M-0565, *Proceeding on Motion of the Commission to Examine Programs to Address Energy Affordability for Low Income Utility Customers*, Petition of the City of New York to Re-Examine Statewide Utility Low Income Program Discounts (filed Jan. 31, 2020).

[80] Case 14-M-0565, *Proceeding on Motion of the Commission to Examine Programs to Address Energy Affordability for Low Income Utility Customers*, Notice of Stakeholder Meeting Agenda (issued Feb. 26, 2020).

manner inconsistent with the methodology set forth in the Affordability Proceeding" because it "focuses on the incomes and household sizes of New York city residents." (2/13/20 Tr. p. 1511-12). Regardless, it is imperative that low-income customers have the resources they need. UIU contends that this would be accomplished in a more equitable and transparent manner through statewide policy discussions that are occurring in the generic statewide proceeding.

XIII. CONCLUSION

For the reasons discussed above, UIU's recommendations are reasonable and UIU respectfully requests the Commission to adopt them in this proceeding.

Respectfully submitted,

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